WHAT IS DUMPING?

A country or manufacturer selling a product in an importing country at a lower price than the normal price in its own domestic market. It is considered an unfair trade practice

WHAT IS ANTI-DUMPING DUTY?

Under the WTO arrangement, a country can impose this tax on imported goods up to the margin of dumping—the difference between the export price and the normal value—if an investigation reveals that it is injuring its domestic industry



ANTI-DUMPING CRACKDOWN

China features in 15 of the 34 anti-dumping probes India has launched this year (Jan. 1-Sept. 30)

SEPT. 30
- Cold rolled non-oriented electrical steel (**China**)
- Refrigerant (**China**)

JUL. 2
- Glufosinate and its salt (**China**)
- Acrylic fibre (**China**, Peru, Thailand)

JUL. 1
- Liquid epoxy resins (**China**, South Korea, Saudi Arabia, Taiwan, Thailand)
- Glass fibre and articles thereof (**China**, Bahrain, Thailand)

APR. 25
- PVC suspension resins (**China**, Indonesia, Japan, South Korea, Taiwan, Thailand, USA)

APR. 19
- Plastic processing machines (**China**, Taiwan)

APR. 8
- Pretilachlor, a herbicide (**China**)

APR. 3
- Insoluble sulphur (**China**, Japan)

Moreover, since the Galwan clash, India has imposed severe restrictions on investments coming in from China and banned several mobile apps. But that has not prevented the country from pushing its products into India. In the first half of FY25 (April-September 2024), China's imports to India rose 11.5 per cent—from $50.5 billion (Rs 4.26 lakh crore) to $56.3 billion (Rs 4.74 lakh crore)—while India's exports fell 9.2 per cent—from $7.6 billion (Rs 64,068 crore) to $6.9 billion (Rs 58,160 crore). This has further widened India's trade deficit with China to $49.4 billion (Rs 4.16 lakh crore) from $42.9 billion (Rs 3.61 lakh crore) in H1 FY24—a 15 per cent rise.

WHY THE IMPORT SURGE

A key reason for the rise in Chinese imports, which sometimes leads to the dumping of goods, is the ballooning demand from the Indian industry amid robust economic growth. "In some sectors where we want to grow fast, the domestic industry is unable to supply the necessary products within a reasonable time frame," says Ajay Sahai, director general and CEO of the Federation of Indian Export Organisations (FIEO). "If demand is not met [domestically], then what is the other option?" Telecom, electronics and machinery dominate the imports from China, he adds, making up around 50 per cent of the total imports of these products.

Take the case of mobile phones. India is a net exporter of phones but not a significant manufacturer of its parts and components. Those are coming from China. Now that the Union government's production-linked incentive (PLI) scheme has been extended to parts and components, their domestic manufacturing is expected to improve in the next three to five years, thus reducing the dependence on Chinese imports. Similarly, India aspires to be the pharma capital of the world, but for most of the APIs—active pharmaceutical ingredients, or the raw materials that go into medicine production—India still depends on China.

Yet another reason is that China has created overcapacities—a situation where a factory cannot sell as much as its plant is designed to produce—due to its slow domestic growth, and needs to boost exports to prop up its economy. In the third quarter of China's present fiscal (July-September 2024), its economy expanded at 4.6 per cent,



"INDIA IS IN A VERY SENSITIVE NEIGHBOURHOOD. I CANNOT BLINDLY WELCOME FDI WITHOUT CONSIDERING WHERE IT'S COMING FROM"

NIRMALA SITHARAMAN
Finance Minister, speaking at the Wharton School, US, Oct. 22

Illustration by TANMOY CHAKRABORTY/AI